

9-2a The Gains and Losses of an Exporting Country

Figure 2 shows the Isolandian textile market when the domestic equilibrium price before trade is below the world price. Once trade is allowed, the domestic price rises to equal the world price. No seller of textiles would accept less than the world price, and no buyer would pay more than the world price.

Figure 2

International Trade in an Exporting Country

Once trade is allowed, the domestic price rises to equal the world price. The supply curve shows the quantity of textiles produced domestically, and the demand curve shows the quantity consumed domestically. Exports from Isoland equal the difference between the domestic quantity supplied and the domestic quantity demanded at the world price. Sellers are better off (producer surplus rises from C to $B + C + D$), and buyers are worse off (consumer surplus falls from $A + B$ to A). Total surplus rises by an amount equal to area D , indicating that trade raises the economic well-being of the country as a whole.

After the domestic price has risen to equal the world price, the domestic quantity supplied differs from the domestic quantity demanded. The supply curve shows the quantity of textiles supplied by Isolandian sellers. The demand curve shows the quantity of textiles demanded by Isolandian buyers. Because the domestic quantity supplied exceeds the domestic quantity demanded, Isoland sells textiles to other countries. Thus, Isoland becomes a textile exporter.

Although domestic quantity supplied and domestic quantity demanded differ, the textile market is still in equilibrium because there is now another participant in the market: the rest of the world. One can view the horizontal line at the world price as representing the rest of the world's demand for textiles. This demand curve is perfectly elastic because Isoland, as a small economy, can sell as many textiles as it wants at the world price.

Consider the gains and losses from opening up trade. Clearly, not everyone benefits. Trade forces the domestic price to rise to the world price. Domestic producers of textiles are better off because they can now sell textiles at a higher price, but domestic consumers of textiles are worse off because they now have to buy textiles at a higher price.

To measure these gains and losses, we look at the changes in consumer and producer surplus. Before trade is allowed, the price of textiles adjusts to balance domestic supply and domestic demand. Consumer surplus, the area between the demand curve and the before-trade price, is area **A + B**. Producer surplus, the area between the supply curve and the

before-trade price, is area C. Total surplus before trade, the sum of consumer and producer surplus, is area $A + B + C$.

After trade is allowed, the domestic price rises to the world price. Consumer surplus shrinks to area A (the area between the demand curve and the world price). Producer surplus increases to area $B + C + D$ (the area between the supply curve and the world price). Thus, total surplus with trade is area $A + B + C + D$.

These welfare calculations show who wins and who loses from trade in an exporting country. Sellers benefit because producer surplus increases by the area $B + D$. Buyers are worse off because consumer surplus decreases by the area B. Because the gains of sellers exceed the losses of buyers by the area D, total surplus in Island increases.

This analysis of an exporting country yields two conclusions:

- When a country allows trade and becomes an exporter of a good, domestic producers of the good are better off, and domestic consumers of the good are worse off.
- Trade raises the economic well-being of a nation in the sense that the gains of the winners exceed the losses of the losers.

Chapter 9: Application: International Trade: 9-2a The Gains and Losses of an Exporting Country

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